

Mindteck Middle East Limited WLL

Audited Financial Statements
For the Year Ended 31 March 2021

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Commercial registration number	49063
Board of directors	Pradeep Kizhakkethil Shankattu Shivarama Adiga
Registered office	PO Box 10795 Office 44, Building 81 Road 1702, Block 317 Manama, Kingdom of Bahrain
Bank	Citibank, Bahrain
Auditor	RSM Bahrain PO Box 11816, Manama Kingdom of Bahrain

Board of directors' report for the year ended 31 March 2021

The Board of Directors present its report and audited financial statements of Mindteck Middle East Limited WLL (the 'Company') for the year ended 31 March 2021.

Board of directors

The members of the Board of Directors are as follows:

	Designation
Pradeep Kizhakkethil	Director
Shankattu Shivarama Adiga	Director

Principal activities

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer consultancy and computer facilities management activities.

Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements are satisfactory.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 22 of the financial statements.

Financial performance

The Company's financial performances for the year are set out on page 8.

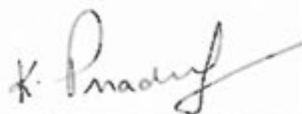
Independent auditor

The independent auditor, RSM Bahrain, has expressed its willingness to be in office and a resolution giving authority to the board of directors to fix their remuneration will be proposed at the annual general meeting.

Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained co-operation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard work, dedication and loyalty during the year.

Signed on behalf of the board of directors:



Pradeep Kizhakkethil
(Director)

RSM Bahrain

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Independent auditor's report

To the Owner of Mindteck Middle East Limited WLL

Opinion

We have audited the financial statements of Mindteck Middle East Limited WLL (the "Company"), which comprise the statement of financial position as at 31 March 2021, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Independent auditor's report

To the Owner of Mindteck Middle East Limited WLL

(Continued from previous page)

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent auditor's report

To the Owner of Mindteck Middle East Limited WLL

(Continued from previous page)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law (the "Law"), we report that:

- (i) As per the Commercial Registry, the Company's financial year end is 30 June, however the financial statements are prepared for the year ending 31 March 2021.

Except for the matters described above:

- a) the Company has maintained proper accounting records and the financial statements are in agreement therewith;
- b) the financial information included in the board of directors' report is consistent with the books of account of the Company; and
- c) nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its articles of association, which would materially affect its activities, or its financial position as at 31 March 2021.

A handwritten signature in blue ink, appearing to read 'BSM'.

Registration no.152

19 May 2021

Manama, Kingdom of Bahrain

	Note	2021	2020
Assets			
Non-current asset			
Plant and equipment	5	919	447
Right-of-use assets	6	8,685	2,869
		<u>9,604</u>	<u>3,316</u>
Current assets			
Contract assets		43,680	23,543
Trade and other receivables	7	118,408	124,675
Advances, deposits and prepayments	8	8,477	10,113
Bank balance		17,416	4,090
		<u>187,981</u>	<u>162,421</u>
Total assets		<u>197,585</u>	<u>165,737</u>
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	22,794	16,931
Accumulated losses		(34,569)	(87,334)
		<u>38,225</u>	<u>(20,403)</u>
Non-current liabilities			
Lease liability	12	2,995	-
Employee terminal benefits	11	28,469	26,424
		<u>31,464</u>	<u>26,424</u>
Current liabilities			
Lease liability	12	4,264	1,444
Trade and other payables	13	35,758	47,233
Due to related parties	14	66,290	98,532
Accrued and other liabilities	15	21,584	12,507
		<u>127,896</u>	<u>159,716</u>
Total equity and liabilities		<u>197,585</u>	<u>165,737</u>

These financial statements were approved by the Board of Directors and signed on its behalf by:



Pradeep Kizhakkethil
Director



Shankattu Shivarama Adiga
Director

Notes 1 to 24 on pages 11 to 25 form an integral part of these financial statements.

Mindteck Middle East Limited WLL
Statement of profit or loss and other comprehensive income
for the year ended 31 March 2021

(in Bahraini Dinars)

	Note	2021	2020
Income			
Revenue	16	541,728	418,334
Direct cost	17	(407,376)	(312,330)
Gross profit		134,352	106,004
Other income	18	37,138	6,422
		<u>171,490</u>	<u>112,426</u>
Expenses			
General and administrative expenses	19	110,279	103,685
Marketing expenses		2,304	-
Finance cost		279	358
		<u>112,862</u>	<u>104,043</u>
Profit for the year		<u>58,628</u>	<u>8,383</u>
Other comprehensive income		-	-
Total comprehensive profit for the year		<u>58,628</u>	<u>8,383</u>

These financial statements were approved by the Board of Directors and signed on its behalf by:



Pradeep Kizhakkethil
Director



Shankattu Shivarama Adiga
Director

Notes 1 to 24 on pages 11 to 25 form an integral part of these financial statements.

	<u>Share capital</u>	<u>Statutory reserve</u>	<u>Accumulated losses</u>	<u>Total</u>
As at 31 March 2019	50,000	16,093	(94,879)	(28,786)
Profit for the year	-	-	8,383	8,383
Transfer to statutory reserve	-	838	(838)	-
As at 31 March 2020	<u>50,000</u>	<u>16,931</u>	<u>(87,334)</u>	<u>(20,403)</u>
Profit for the year	-	-	58,628	58,628
Transfer to statutory reserve	-	5,863	(5,863)	-
As at 31 March 2021	<u>50,000</u>	<u>22,794</u>	<u>(34,569)</u>	<u>38,225</u>

	2021	2020
Cash flows from operating activities:		
Profit for the year	58,628	8,383
Adjustments for:		
Depreciation	414	98
Finance cost	279	358
Provision for employee benefits	13,742	9,223
Depreciation on right-of-use assets	5,737	5,737
Reversal of excess provision for allowance on expected credit losses	(5,970)	(299)
Receivables written off	6,585	-
Changes in operating assets and liabilities		
Contract assets	(20,137)	(2,245)
Trade and other receivables	5,652	(45,022)
Advances, deposits and prepayments	1,636	(1,995)
Trade and other payables	(11,475)	28,695
Accrued and other liabilities	7,464	1,067
Cash generated from operations	62,555	4,000
Employee benefits paid	(10,084)	(3,165)
Net cash generated from operating activities	52,471	835
Cash flows from investing activities:		
Payments for plant and equipment	(886)	(424)
Net cash used in investing activities	(886)	(424)
Cash flows from financing activities:		
Repayment of lease liabilities	(5,738)	(7,162)
Due to related parties	(32,242)	(3,981)
Finance costs paid	(279)	(358)
Net cash used in financing activities	(38,259)	(11,501)
Net increase / (decrease) in cash and cash equivalents	13,326	(11,090)
Cash and cash equivalents at the beginning of the year	4,090	15,180
Cash and cash equivalents at the end of year	17,416	4,090
Non-cash investing and financing activities		
Additions to the right-of-use assets	11,553	8,606

1. Legal status and principal activities

Mindteck Middle East Limited WLL (the "Company"), is a limited liability company registered with the Ministry of Industry, Commerce and Tourism in the Kingdom of Bahrain under commercial registration number 49063-1, dated 27 July 2002.

The principal activities of the company are computer programming activities and computer consultancy and computer facilities management activities.

2. Basis of preparation

2.1. Statement of Compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 March 2021, and the applicable provisions of the Bahrain Commercial Companies Law Decree No (21) of 2001, and amendments thereto.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in its capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorized into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value These measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

- Level 2 fair value These measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value These measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Company at the end of the reporting period during which the change occurred.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currency for these financial statements. The financial statements figures are rounded to the nearest dinar, unless otherwise stated.

2.3. Application of new and amended accounting standards and interpretations

The Company has adopted all of the new or amended Accounting Standards and Interpretations issued by the International Accounting Standards Board ('IASB') that are mandatory for the current reporting period. Any new or amended Accounting Standards or Interpretations that are not yet mandatory have not been early adopted. The following Accounting Standards and Interpretations are most relevant to the Company:

- Amendments to IAS 1 and IAS 8 (issued in October 2012 to clarify the definition of 'material' and to align the definition used in the Conceptual Framework and the standards themselves): The amendments, effective for annual reporting periods beginning on or after 1 January 2020, clarify that information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.
- Conceptual Framework for Financial Reporting issued on 29 March 2018: The Conceptual Framework is not a standard, and none of the concepts contained therein override the concepts or requirements in any standard. The purpose of the Conceptual Framework is to assist the IASB in developing standards, to help preparers develop consistent accounting policies where there is no applicable standard in place and to assist all parties to understand and interpret the standards. This will affect those entities which developed their accounting policies based on the Conceptual Framework. The revised Conceptual Framework includes some new concepts, updated definitions and recognition criteria for assets and liabilities and clarifies some important concepts. These amendments had no impact on the financial statements of the Company.

2.4. New and amended pronouncements in issue but not yet mandatory or early adopted

The Company has not applied the following new or amended standards and interpretations that have been issued by the IASB but are not yet mandatory for the financial year ended 31 March 2021 (the list does not include information about new or amended requirements that are not relevant to the Company). The company has not yet assessed the impact of these new or amended Accounting Standards and Interpretations.

- Amendments to IAS 1 (issued in January 2020): The amendments, effective for annual reporting periods beginning on or after 1 January 2023, (i) clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and align the wording in all affected paragraphs to refer to the "right" to defer settlement by at least twelve months and make explicit that only rights in place "at the end of the reporting period" should affect the classification of a liability; (ii) clarify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability; and (iii) make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.
- Amendments to IAS 16 (issued in May 2020): The amendments, effective for annual reporting periods beginning on or after 1 January 2022, prohibit a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related cost in profit or loss.
- Amendments to IAS 37 (issued in May 2020): The amendments, effective for annual reporting periods beginning on or after 1 January 2022, specify which costs an entity should include when assessing whether a contract is onerous or loss-making. The amendments apply a "directly related cost approach". The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

3. Summary of significant accounting policies

3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on a straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and fittings	15% – 33%
Motor vehicles	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2. Right-of-use assets

A right-of-use asset is recognised at the commencement date of a lease. The right-of-use asset is measured at cost, which comprises the initial amount of the lease liability, adjusted for, as applicable, any lease payments made at or before the commencement date net of any lease incentives received, any initial direct costs incurred, and, except where included in the cost of inventories, an estimate of costs expected to be incurred for dismantling and removing the underlying asset, and restoring the site or asset.

Right-of-use assets are depreciated on a straight-line basis over the unexpired period of the lease or the estimated useful life of the asset, whichever is the shorter. Where the Company expects to obtain ownership of the leased asset at the end of the lease term, the depreciation is over its estimated useful life. Right-of-use assets are subject to impairment or adjusted for any remeasurement of lease liabilities.

The Company has elected not to recognise a right-of-use asset and corresponding lease liability for short-term leases with terms of 12 months or less and leases of low-value assets. Lease payments on these assets are expensed to profit or loss as incurred.

3.3. Trade and other receivables

Trade receivables are initially recognised at fair value and subsequently measured at amortised cost using the effective interest method, less any allowance for expected credit losses. Trade receivables are generally due for settlement within 30 to 45 days. The Company has applied the simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance. To measure the expected credit losses, trade receivables have been grouped based on days overdue. Other receivables are recognised at amortised cost, less any allowance for expected credit losses.

3.4. Contract assets

Contract assets are recognised when the Company has transferred goods or services to the customer but where the Company is yet to establish an unconditional right to consideration. Contract assets are treated as financial assets for impairment purposes.

3.5. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

3.6. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

3.7. Employee benefits and entitlements

3.7.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.7.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.8. Government grants

Grants are recognised when the conditions for receipt are met and there is reasonable assurance that the grant will be received. Grants related to assets are initially taken to deferred income and then released to profit or loss on a systematic and rational basis over the useful lives of the related assets. The majority of grants received by the Company are to assist with the purchase of plant and machinery. Grants related to income are deducted in reporting the related expense. Grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

3.9. Other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

3.10. Lease liabilities

A lease liability is recognised at the commencement date of a lease. The lease liability is initially recognised at the present value of the lease payments to be made over the term of the lease, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Lease payments comprise of fixed payments less any lease incentives receivable, variable lease payments that depend on an index or a rate, amounts expected to be paid under residual value guarantees, exercise price of a purchase option when the exercise of the option is reasonably certain to occur, and any anticipated termination penalties. The variable lease payments that do not depend on an index or a rate are expensed in the period in which they are incurred.

Lease liabilities are measured at amortised cost using the effective interest method. The carrying amounts are remeasured if there is a change in the following: future lease payments arising from a change in an index or a rate used; residual guarantee; lease term; certainty of a purchase option and termination penalties. When a lease liability is remeasured, an adjustment is made to the corresponding right-of-use asset, or to profit or loss if the carrying amount of the right-of-use asset is fully written down.

3.11. Value-Added Tax ('VAT')

Revenues, expenses and assets are recognised net of the amount of associated VAT, unless the VAT incurred is not recoverable from the tax authority. In this case it is recognised as part of the cost of the acquisition of the asset or as part of the expense. Receivables and payables are stated inclusive of the amount of VAT receivable or payable. The net amount of VAT recoverable from, or payable to, the tax authority is included in other receivables or other payables in the statement of financial position. Commitments and contingencies are disclosed net of the amount of VAT recoverable from, or payable to, the tax authority.

3.12. Related party transactions

Related parties comprise the Owner, directors and such other entities over which the Company or its Owner can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.13. Revenue recognition

The Company recognises revenue as follows:

3.13.1. Revenue from contracts with customers

Revenue is recognised at an amount that reflects the consideration to which the Company is expected to be entitled in exchange for transferring services to a customer. For each contract with a customer, the Company: identifies the contract with a customer; identifies the performance obligations in the contract; determines the transaction price which takes into account estimates of variable consideration and the time value of money; allocates the transaction price to the separate performance obligations on the basis of the relative stand-alone selling price of each distinct service to be delivered; and recognises revenue when or as each performance obligation is satisfied in a manner that depicts the transfer to the customer of the services promised.

Variable consideration within the transaction price, if any, reflects concessions provided to the customer such as discounts, rebates and refunds, any potential bonuses receivable from the customer and any other contingent events. Such estimates are determined using either the 'expected value' or 'most likely amount' method. The measurement of variable consideration is subject to a constraining principle whereby revenue will only be recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. The measurement constraint continues until the uncertainty associated with the variable consideration is subsequently resolved. Amounts received that are subject to the constraining principle are initially recognised as deferred revenue in the form of a separate refund liability.

3.13.2. Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered based on either a fixed price or an hourly rate.

3.13.3. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.14. Foreign currency

Foreign currency transactions are translated into International currency units using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at financial year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

3.15. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

4. Critical accounting judgments, estimates and assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts in the financial statements. Management continually evaluates its judgements and estimates in relation to assets, liabilities, contingent liabilities, revenue and expenses. Management bases its judgements, estimates and assumptions on historical experience and on other various factors, including expectations of future events, management believes to be reasonable under the circumstances. The resulting accounting judgements and estimates will seldom equal the related actual results. The judgements, estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

4.1. Coronavirus (COVID-19) pandemic

Judgement has been exercised in considering the impacts that the Coronavirus (COVID-19) pandemic has had, or may have, on the company based on known information. This consideration extends to the nature of the products and services offered, customers, supply chain, staffing and geographic regions in which the company operates. Other than as addressed in specific notes, there does not currently appear to be either any significant impact upon the financial statements or any significant uncertainties with respect to events or conditions which may impact the company unfavourably as at the reporting date or subsequently as a result of the Coronavirus (COVID-19) pandemic.

4.2. Estimation of useful lives of assets

The Company determines the estimated useful lives and related depreciation charges for its plant and equipment. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

4.3. Allowance for expected credit losses

The allowance for expected credit losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience and historical collection rates.

4.3. Lease term

The lease term is a significant component in the measurement of both the right-of-use asset and lease liability. Judgement is exercised in determining whether there is reasonable certainty that an option to extend the lease or purchase the underlying asset will be exercised, or an option to terminate the lease will not be exercised, when ascertaining the periods to be included in the lease term. In determining the lease term, all facts and circumstances that create an economical incentive to exercise an extension option, or not to exercise a termination option, are considered at the lease commencement date. Factors considered may include the importance of the asset to the Company's operations; comparison of terms and conditions to prevailing market rates; incurrence of significant penalties; existence of significant leasehold improvements; and the costs and disruption to replace the asset. The Company reassesses whether it is reasonably certain to exercise an extension option, or not exercise a termination option, if there is a significant event or significant change in circumstances.

4.4. Incremental borrowing rate

Where the interest rate implicit in a lease cannot be readily determined, an incremental borrowing rate is estimated to discount future lease payments to measure the present value of the lease liability at the lease commencement date. Such a rate is based on what the Company estimates it would have to pay a third party to borrow the funds necessary to obtain an asset of a similar value to the right-of-use asset, with similar terms, security and economic environment.

4.5. Provisions

Provisions are recognised when the Company has a present (legal or constructive) obligation as a result of a past event, it is probable the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. If the time value of money is material, provisions are discounted using a current pre-tax rate specific to the liability. The increase in the provision resulting from the passage of time is recognised as a finance cost.

4.6. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

5. Plant and equipment

	Furniture and equipment	Motor vehicles	Total
Cost :			
At 31 March 2020	3,901	6,000	9,901
Additions	886	-	886
At 31 March 2021	<u>4,787</u>	<u>6,000</u>	<u>10,787</u>
Accumulated depreciation:			
At 31 March 2020	3,454	6,000	9,454
Depreciation for the year	414	-	414
At 31 March 2021	<u>3,868</u>	<u>6,000</u>	<u>9,868</u>
Carrying amount :			
At 31 March 2020	447	-	447
At 31 March 2021	<u>919</u>	<u>-</u>	<u>919</u>

Fully depreciated furniture and fixtures and motor vehicles still in use had a cost of BD 9,157 (2020: BD 9,157).

6. Right-of-use assets

	Office premises	Total
Cost :		
At 31 March 2020	8,606	8,606
Additions	11,553	11,553
At 31 March 2021	<u>20,159</u>	<u>20,159</u>
Accumulated depreciation:		
At 31 March 2020	5,737	5,737
Depreciation for the year	5,737	5,737
At 31 March 2021	<u>11,474</u>	<u>11,474</u>
Carrying amount :		
At 31 March 2020	2,869	2,869
At 31 March 2021	<u>8,685</u>	<u>8,685</u>

The Company leases office premises for its offices under lease agreements of two years.

7. Trade and other receivables

	Note	2021	2020
Trade receivables		120,376	132,613
Allowance for expected credit losses	7.2	(1,968)	(7,938)
		<u>118,408</u>	<u>124,675</u>

7.1. Trade receivables amounting BD 6,585 has been written off during the year as uncollectable.

7.2. Allowance for expected credit losses

	2021	2020
Opening balance	7,938	8,237
Reversal of unutilized provision	(5,970)	(299)
	<u>1,968</u>	<u>7,938</u>

The ageing of the receivables and allowance for expected credit losses provided for above are as follows:

	Expected credit loss rate		Carrying amount		Allowance for expected credit losses	
	2021%	2020 %	2021	2020	2021	2020
Not overdue	0.57%	3.10%	48,291	65,135	273	2,019
0 to 3 months overdue	0.67%	3.15%	65,882	41,873	440	1,319
3 to 6 months overdue	3.75%	17.10%	4,214	14,159	158	2,422
Over 6 months overdue	55.15%	19.03%	1,989	11,446	1,097	2,178
			<u>120,376</u>	<u>132,613</u>	<u>1,968</u>	<u>7,938</u>

8. Advances, deposits and prepayments

	2021	2020
Prepayments	4,395	3,077
Advances to employees	3,582	6,336
Tender deposits	500	700
	<u>8,477</u>	<u>10,113</u>

9. Share capital

The share capital of the Company is BD 50,000 (2020: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, an amount of BD 5,863 has been transferred to such reserve out of current year's net profit (2020: BD 838).

11. Employee terminal benefits

	2021	2020
Opening balance	26,424	20,933
Provision for the year	11,480	8,523
Payments during the year	(9,435)	(3,032)
	<u>28,469</u>	<u>26,424</u>

12. Lease liability

	2021	2020
Opening balance	1,444	-
Impact on adoption of IFRS 16	-	8,606
Additions	11,553	-
Interest expense	279	358
Lease payments	(6,017)	(7,520)
Closing balance	<u>7,259</u>	<u>1,444</u>

Lease liabilities are presented in the statement of financial position as follows:

	2021	2020
Non-current portion	2,995	-
Current portion	4,264	1,444
	<u>7,259</u>	<u>1,444</u>

Reconciliation of liabilities arising from financing activities

	As at 31 March 2020	Cash flows	Non-cash changes	As at 31 March 2021
Lease liability	1,444	(6,017)	11,832	7,259
Total liabilities from financing activities	<u>1,444</u>	<u>(6,017)</u>	<u>11,832</u>	<u>7,259</u>

13. Trade and other payables

	Note	2021	2020
Trade payables	13.1	20,462	-
Salaries payable		7,639	34,746
VAT payables		5,167	6,255
Other payables		2,490	6,232
		<u>35,758</u>	<u>47,233</u>

13.1. Trade payables include BD 10,940 (2020: nil) payable to Mindteck India Limited and BD 482 (2020: nil) payable to Mindteck Software, Malaysia.

14. Due to related parties

	Relationship	2021	2020
Mindteck Inc, USA	Sister concern	60,442	70,442
Mindteck Inc, UK	Sister concern	5,848	20,956
Mindteck India Limited	Parent company	-	7,134
		<u>66,290</u>	<u>98,532</u>

15. Accrued and other liabilities

	2021	2020
Employee benefit	14,686	11,637
Accrued expenses	6,898	870
	<u>21,584</u>	<u>12,507</u>

16. Revenue

	2021	2020
Revenue from contracts with customers		
Rendering of services	541,728	418,334
	<u>541,728</u>	<u>418,334</u>
Disaggregation of revenue		
Geographical regions		
Bahrain	456,686	397,462
GCC	71,678	20,872
Outside GCC	13,364	-
	<u>541,728</u>	<u>418,334</u>

Timing of revenue recognition

	2021	2020
Services transferred over time	541,728	418,334

17. Direct cost

	2021	2020
Salaries, wages and other benefits	310,738	280,630
Subcontractor costs	71,355	9,686
Social Insurance	25,283	22,014
	<u>407,376</u>	<u>312,330</u>

18. Other income

	Note	2021	2020
Government grants	18.1	31,168	2,854
Reversal of allowance for expected credit losses		5,970	299
Rental income		-	1,890
Miscellaneous		-	1,379
		<u>37,138</u>	<u>6,422</u>

18.1. Government grants represent COVID-19 related government assistance received from the Government of Kingdom of Bahrain, for the reimbursement of utility bills and salaries of Bahraini employees. The Company has recognised these grants in profit or loss on a systematic basis in the periods in which the expenses are recognised.

19. General and administrative expenses

	Note	2021	2020
Employee costs	19.1	88,206	86,835
Receivables written off	7.1	6,585	-
Depreciation on right-of-use assets	6	5,737	5,737
Bank charges		2,250	2,683
Travelling and conveyance		1,946	3,213
Communication		1,005	1,608
Professional fee		1,514	1,430
Exchange loss		453	516
Depreciation	5	414	98
Utilities	18.1	392	567
Repair and maintenance		10	41
Miscellaneous		1,767	957
		<u>110,279</u>	<u>103,685</u>

19.1. Employee costs

	2021	2020
Salary and allowances	43,586	43,942
Employee benefits	29,852	24,715
Insurance	8,305	10,450
Visa and immigration fees	6,344	3,774
Employee welfare	119	188
Others	-	3,766
	<u>88,206</u>	<u>86,835</u>

20. Related party transactions**20.1. Parent and ultimate controlling party**

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

20.2. Transactions with parent company

	2021	2020
Purchase of services	47,508	-
Settlements made during the year	(58,846)	(28,722)
Expenses incurred by parent	-	10,030

20.3. Other related parties

	2021	2020
Settlement made during the year	(10,000)	(68,364)
Expenses incurred on behalf of the Company	-	82,486

The above transactions were made on the same terms as equivalent transactions with unrelated parties.

21. Contingencies and commitments**21.1. Contingent liabilities**

Company issued undated cheques to Medgulf Takaful of BD 1,000 to obtain performance bonds in the ordinary course of business.

21.2. Commitments

There were no material commitments known as at the date of the statement of financial position.

22. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits and trade and other receivables. Financial liabilities include other payables, lease liability and due to related parties. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

22.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2021	2020
Bank balance	17,416	4,090
Tender deposits	500	700
Contract assets	43,680	23,543
Trade and other receivables	118,408	124,675
	<u>180,004</u>	<u>153,008</u>

22.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. At 31 March 2021, if the currency had weakened/strengthened by 5% against Qatari Riyal with all other variables held constant, profit for the year would have been BD 452 (2020: BD 3,652) higher/lower.

22.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements. The maturity analysis of financial assets and liabilities at 31 March is as follows:

2021

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	17,416	17,416	-	-
Tender deposits	500	500	-	-
Contract assets	43,680	43,680	-	-
Trade and other receivables	118,408	118,408	-	-
	<u>180,004</u>	<u>180,004</u>	<u>-</u>	<u>-</u>
Liability				
Lease liability	7,259	1,463	2,801	2,995
Trade and other payables	35,758	35,758	-	-
Due to related parties	66,290	66,290	-	-
	<u>109,307</u>	<u>103,511</u>	<u>2,801</u>	<u>2,995</u>

2020

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	4,090	4,090	-	-
Tender deposits	700	700	-	-
Contract assets	23,543	23,543	-	-
Trade and other receivables	124,675	124,675	-	-
	<u>153,008</u>	<u>153,008</u>	<u>-</u>	<u>-</u>

	Carrying amount	Less than 6 months	6 to 12 months	2995
Liability				
Lease liability	1,444	1,444	-	-
Trade and other payables	47,233	47,233	-	-
Due to related parties	98,532	98,532	-	-
	<u>147,209</u>	<u>147,209</u>	<u>-</u>	<u>-</u>

22.4. Fair value of financial assets and liabilities

The carrying amounts of trade and other receivables, lease liability, other payables and due to related parties are assumed to approximate their fair values due to their short-term nature. The fair value of financial liabilities is estimated by discounting the remaining contractual maturities at the current market interest rate that is available for similar financial liabilities.

22.5. Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximize the owner's wealth.

23. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.

24. Events after the reporting period

The Novel Coronavirus ("COVID-19") was declared a pandemic by the World Health Organization on 11 March 2020. The rapid spread of the virus across the globe has caused disruption to businesses and economic activities. The implications of COVID-19 are ongoing and the ultimate outcome of the pandemic is unknown as at date, and therefore the full impact on the Company for events and circumstances that arose after the reporting date cannot be reasonably quantified. However, the Company continues to monitor the market outlook and update its assumptions and forecasts as that may have a substantial impact on its business in the future.